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U.S. ECONOMICS NEWS

- **S&P 500 Drivers:** Through Q3 2026, EPS growth of 30.7% more than fully accounted for the S&P 500's 12.7% total return, with a contracting P/E multiple actually subtracting from returns; the Magnificent 7 contributed 32.9% of that return, though market breadth showed a slight improvement to 33.6% of stocks outperforming the index, up from historic lows of 26.9% in 2023.[3]
- **Housing Deterioration:** September housing starts fell 5.2% to a 1.221 million annual rate — the second-lowest since COVID's onset — as 30-year mortgage rates climbed roughly 110 basis points since February to approximately 7.2%; the NAHB homebuilder sentiment index dropped to 29, the lowest since 2012, marking 30 consecutive months below the 50-point threshold separating optimism from pessimism.[3]
- **Precious Metals Pullback:** Gold and silver prices fell 23.85% and 50.35% respectively from their January 2026 record highs of $5,417 and $116.70 per troy ounce, as rising Treasury yields — the 10-year hit 5.31% on October 5, its highest since April 2002 — provided investors a compelling income-generating alternative to non-yielding metals, despite CPI remaining elevated at 3.7%.[3]

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DIGITAL ASSETS NEWS

- **Dormant BTC:** Over 11 million bitcoin — roughly 55% of the circulating supply — remains locked in wallets that have shown no movement for years, with many untouched since Bitcoin's earliest days. This includes coins belonging to lost wallets, deceased holders, and long-term conviction investors, effectively reducing liquid supply and reinforcing the narrative of deep, structural retail accumulation over time.[5]
- **Clarity Act:** The prolonged stall of U.S. crypto legislation is creating a tangible competitive disadvantage for American firms, according to Apex Group CEO Peter Hughes. While Congress delays, jurisdictions across Asia and the Middle East — including the UAE, Singapore, and Hong Kong — have enacted clear digital asset frameworks, attracting institutional capital and crypto businesses that might otherwise have anchored in the United States.[5]
- **Ethereum Settlement:** A newly circulated Ethereum Improvement Proposal aims to compress transaction finality from its current ~15-minute window down to roughly four minutes by restructuring the consensus layer's epoch and slot timing. For payment processors and stablecoin issuers, faster cryptographic finality means shorter fund-lock periods, reduced counterparty exposure, and lower operational overhead — potentially making Ethereum more competitive with traditional card network settlement speeds.[5]
- **OCC Stablecoin Rules:** The Office of the Comptroller of the Currency made regulatory history by becoming the first U.S. federal agency to finalize stablecoin rules under the GENIUS Act, establishing binding standards for reserves, redemption rights, and issuer eligibility. The framework gives nationally chartered banks and federally approved nonbank issuers a clear legal pathway to mint and manage dollar-pegged digital assets.[5]
- **JPMorgan's Historic BTC Return Forecast:** In a significant institutional milestone, JPMorgan published its first-ever long-term Bitcoin return projection, estimating approximately 10% annualized gains over the next decade — a figure that would outpace both equities and fixed income. The forecast signals a notable shift in how Wall Street's largest bank formally models digital assets within its broader capital markets outlook.[5]

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GEOPOLITICS NEWS

- **Canada:** Alberta voters rejected a referendum option to pursue secession from Canada, with roughly 76% choosing to remain and only 23% backing a path toward another independence vote. The result reflects decades of western alienation toward Ottawa but also more recent resentment that coalesced around pandemic-era protest movements. Prime Minister Carney welcomed the outcome, declaring all Canadians would move forward together.[1]
- **EU/China:** The European Commission is preparing new import restrictions on Chinese goods including chemicals, furniture, and machinery, potentially announced in early 2027. The measures would follow the recent cap on Chinese hybrid vehicle imports and are designed to reduce the EU's €360 billion trade deficit with China without triggering significant retaliation from Beijing.[1]
- **Iran:** The US intelligence community assessed that Iranian preparations to attack American personnel across the Middle East have reached advanced stages, triggering emergency evacuations from embassies and military bases throughout the region. Separately, Iran's shadow tanker fleet — which had been selling oil to China to cushion the economy during the US blockade — has been fully depleted, costing Tehran at least $25 billion in lost revenue and further straining its ability to reconstitute military capacity.[1]
- **Russia/Ukraine:** Despite Putin's agreement "in principle" to resume three-way peace negotiations with the US and Ukraine, Russia launched a major ballistic missile barrage on Kyiv hours later, killing at least four people. Zelensky condemned the strikes as evidence Russia has no genuine desire to end the war. Separately, Melania Trump brokered a limited ceasefire in the Russian-occupied city of Oleshky to allow humanitarian aid delivery and civilian evacuation beginning October 29.[1]
- **Saudi Arabia:** Houthi attacks on Saudi infrastructure intensified dramatically, with strikes hitting Riyadh's King Khalid International Airport multiple times this month, killing over a dozen people. Aramco's headquarters in Dhahran was struck, a cross-country pipeline was hit, and attacks targeted facilities in Yanbu and Medina. The US ordered non-emergency diplomatic personnel and families to depart Saudi Arabia. Riyadh's airport briefly reopened before a ballistic missile was intercepted overhead the same morning.[1]
- **US:** The US Commerce Department announced $389 million in R&D funding for four companies working on power semiconductors and critical materials, including technologies relevant to commercial fusion, with the government taking minority non-voting equity stakes. Separately, a critical vulnerability in the PHP programming language was disclosed, triggering emergency patches and website shutdowns from Tokyo to Helsinki, with millions of exploit attempts recorded within hours and Microsoft CEO Satya Nadella calling it unprecedented.[1]

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THE GOOD NEWS

- **Quantum Accuracy:** Quantinuum's 98-qubit trapped-ion computer achieved 99.9995% logical fidelity — just five errors per million operations — beating Google Quantum AI's best published result by 100 times. The record, ten times better than Quantinuum's own September 2026 benchmark, brings the company closer to Apollo, its planned fault-tolerant universal quantum computer targeted for 2029.[2]
- **Quantum Networks:** Oxford researchers sustained entanglement between ions across two fiber-linked locations for roughly 10 seconds — a major leap for quantum networking. Using strontium ions to connect nodes and calcium ions to store information, the system demonstrates that quantum states can survive long enough for real computation and secure communication between distant devices.[2]
- **Emergency Autoland:** Six years after certification, Garmin Autoland is now installed on over 2,500 aircraft across 15-plus models. The system lets a passenger land a plane safely with one button press — or activates automatically if no pilot interaction is detected — autonomously selecting an airport, navigating weather and terrain, and completing the landing without any human intervention.[2]
- **Pediatric Drones:** Drone company Matternet and logistics startup Apian are now flying urgent pathology samples to and from Great Ormond Street Hospital, one of the world's top pediatric centers. The service cuts urgent delivery times by up to 90%, bypassing London's notoriously congested streets and helping clinicians treating children with rare, complex conditions make faster, better-informed decisions.[2]
- **Genomic AI:** Hugging Face released an open-source AI model — developed with researchers in China and Italy — that interprets DNA sequences and answers plain-language questions about how genetic changes affect gene activity and health. Lightweight enough to run on a laptop, the tool is designed to accelerate drug and gene therapy research and could eventually help patients understand their own genomic data.[2]
- **Reading Resurgence:** Print book sales in America are up nearly 25% over the past decade, independent bookstores have grown 70% since 2020, and among young adults entering college, book sales are at a lifetime high. Reading assessment scores for nine-year-olds are meaningfully higher than in 1971, and top-performing Black and Hispanic students now outread the average white student — a historic shift.[2]

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DIVIDEND PORTFOLIO NEWS

- **ABT:** Abbott beat Q3 estimates and held its 2026 EPS forecast, but cut its full-year growth outlook, sending shares lower. Abbott plans to spin off its nutrition business as a standalone public company by end of next year.[4]
- **AVGO:** Broadcom signed a 10-year VMware cloud deal with NTT DOCOMO, reinforcing its enterprise infrastructure strategy post-VMware acquisition. Separately, Meta's massive $95B equity financing push and accelerating AI capex spending are a positive demand signal for Broadcom's custom AI chips and networking silicon.[4]
- **DGX:** Quest Diagnostics beat Q3 estimates — Non-GAAP EPS of $3.00, beating by $0.13; revenue of $3.1B, beating by $50M — and raised its 2026 revenue outlook to $12.065B–$12.105B. Management projects consumer health revenue growth exceeding 30%.[4]
- **GPC:** Genuine Parts beat Q3 estimates (Non-GAAP EPS $2.07, revenue $6.52B), but shares fell after the company lowered its full-year profit forecast, overshadowing the quarterly result and reflecting ongoing margin pressure in its automotive and industrial distribution businesses.[4]
- **LMT:** Q3 earnings beat estimates, 2026 sales outlook raised to $80B–$82B, and management outlined an $8B munitions investment through 2030.[4]
- **LRCX:** Lam Research beat Q1 estimates (Non-GAAP EPS $2.20, revenue $8.22B) but dropped ~12% on cautious guidance and a notable decline in China revenue.[4]
- **ORI:** Old Republic Q3 GAAP EPS of $0.73 missed by $0.04, but revenue of $2.55B beat by $60M. Management flagged that its auto warranty business could reach $600M–$700M in annual premium over the next few years, with its ECM and warranty segments serving as meaningful growth levers.[4]
- **SPGI:** S&P Global named Kalshi as its preferred prediction market platform for Dow Jones Indices event contracts, marking an expansion into derivatives-adjacent financial products.[4]
- **SSNC:** SS&C beat Q3 Non-GAAP EPS by $0.01 at $1.78, with revenue of $1.69B in-line. Management guided 2026 revenue of $6.736B–$6.776B and is targeting a 41% EBITDA margin exit rate, reflecting confidence in its financial software and services platform's operating leverage.[4]

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GROWTH PORTFOLIO NEWS

- **HOOD:** Robinhood is expanding into the Middle East with a retail investing platform launching in Dubai, broadening its international footprint beyond its U.S. core.[4]
- **HRMY:** Harmony Biosciences shares dropped amid a court hearing on the Wakix patent, raising litigation risk around its key narcolepsy drug.[4]
- **NVDA:** SpaceX secured $40B in GPU financing and is targeting 13GW of compute by end-2027, with Nvidia named as a key partner. Nvidia also announced major deals at GTC Berlin spanning AI data centers, telecom, robotics, and supply chain.[4]
- **NXPI:** NXP and Volkswagen announced a strategic partnership on software-defined vehicles, a significant design-win signal for NXP's automotive semiconductor roadmap.[4]
- **SOFI:** SoFi launched an interest-bearing tokenized deposit product with FDIC insurance, a notable fintech innovation blending blockchain infrastructure with traditional deposit protection. The company also partnered with Prudential Financial to expand customer access to life insurance products, broadening its financial services platform.[4]
- **SYF:** Synchrony Financial reported Q3 GAAP EPS of $2.68, beating estimates by $0.26, on revenue of $3.82B. Management reaffirmed full-year EPS guidance at the top of its range (~$9.50 for 2026) and declared a $0.34 dividend.[4]

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SUMMARY

In regard to the United States Economy, equity returns through Q3 2026 were driven entirely by earnings growth rather than expanding valuations, with S&P 500 EPS surging 30.7% even as price-to-earnings multiples contracted. Housing deteriorated further, with starts near post-COVID lows and homebuilder sentiment at its weakest since 2012. Rising Treasury yields — the 10-year reaching levels unseen since 2002 — pressured gold and silver sharply lower from their January record highs.

In the world of digital assets, the OCC became the first U.S. federal agency to finalize stablecoin rules, providing chartered banks and approved nonbank issuers a clear path to issue dollar-pegged assets. Congressional delays on broader crypto legislation are meanwhile driving institutional capital toward clearer jurisdictions in Asia and the Middle East. JPMorgan published its first-ever long-term Bitcoin return forecast, projecting roughly 10% annualized gains over the next decade — a notable institutional milestone.

Recently around the globe, tensions escalated across multiple regions. Russia launched a major missile barrage on Kyiv even as peace negotiations were ostensibly progressing. Houthi attacks intensified against Saudi infrastructure, striking Riyadh's international airport and Aramco facilities and prompting U.S. diplomatic evacuations. The EU moved toward new import restrictions on Chinese goods to address its massive trade deficit, while Alberta voters decisively rejected secession from Canada, with roughly 76% choosing to remain.

For the good news, scientific milestones were abundant. Quantinuum's quantum computer achieved near-perfect logical fidelity, one hundred times better than Google's published benchmark, while Oxford researchers sustained quantum entanglement across fiber-linked locations for ten seconds. Garmin's Autoland system, now on over 2,500 aircraft, can land a plane autonomously with one button press. Print book sales have risen nearly 25% over the past decade, with reading scores among young students reaching historic highs.

In the news for the dividend portfolio, earnings season was mixed but generally constructive. Lockheed Martin posted a strong beat, raised sales guidance to $80–82 billion, and earned a Morgan Stanley upgrade. Quest Diagnostics beat estimates and raised revenue guidance, projecting consumer health growth exceeding 30%. Abbott announced plans to spin off its nutrition business. Lam Research beat estimates but dropped sharply on cautious guidance and declining China revenue, tempering an otherwise solid week.

And, for the growth portfolio, Nvidia remained central, announcing major partnerships at GTC Berlin across AI infrastructure, telecom, and robotics while securing a reported $35 billion in export-compliant GPU orders from Chinese firms. SoFi launched an FDIC-insured tokenized deposit product blending blockchain innovation with traditional banking. Synchrony Financial beat earnings estimates and reaffirmed full-year guidance. NXP announced a strategic partnership with Volkswagen on software-defined vehicles, a meaningful win for its automotive semiconductor business.

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RESOURCES

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